

to an unduly low figure on December 31, 1932, this artificially low “cost price” would give rise to a correspondingly inflated profit in the following years. This point may be made clear by the use of hypothetical figures as follows:

Assume fair value of inventory and receivables on	
Dec. 31, 1932 to be	\$2,000,000
Assume profit for 1933 based on such fair value.....	200,000
But assume that, by special and excessive charges to surplus,	
the inventory and receivables had been written down to	1,600,000
Then the amounts realized therefrom will show a	
correspondingly greater profit for 1933, which might	
mean <i>reported</i> earnings for 1933 of.....	600,000
This would be three times the proper figure.	

The foregoing example illustrates a whole set of practices that constitute perhaps the most vicious type of accounting manipulation. They consist, in brief, of taking sums out of surplus (or even capital) and then reporting these same sums as income. The charge to surplus goes unnoticed; the credit to income may have a determining influence upon the market price of the securities of the company.¹ We shall later point out that the “conservative” writing down of the property account has precisely this result, in that it permits a decreased depreciation charge and hence an increase in the apparent earnings. The dangers inherent in accounting methods of this sort are the more serious because they are so little realized by the public, so difficult to detect even by the expert analyst and so impervious to legislative or stock-exchange correction.

The basing of common-stock values on reported per-share earnings has made it much easier for managements to exercise an arbitrary and

¹ The United States Industrial Alcohol Company reports for 1932 and subsequent years reflect a situation somewhat similar to that here suggested. This company departed from its usual practice in 1932 by setting up a reserve for \$1,500,000 out of surplus to reduce molasses inventory to estimated current market value. (Previously this item had regularly been carried at cost.) Later reports state that earnings for 1933, 1934 and 1935 had benefited by this reserve to the extent of \$772,000, \$677,000 and \$51,000 respectively. Significantly, income tax for 1934 was based on \$677,000 less than the reported profit. (See pp. 626–627 in the sixth edition for a broad summary of the effect of this company’s accounting methods on its reported per-share earnings for the years 1929–1938.)